Dear Sirs,

Re: Warwick House, 8 Addison Crescent, London W14 8JP (Title No: BGL25559) (the "London Property") Charge in favour of BARCLAYS Bank Plc (the "Bank") dated 2 February 2009 (the "London Charge")

Our client: Nicola JOHNSON (formerly Nicola TAKIEDDINE)

Revised structure of letter:

1. Definitions
2. Summary of unlawful acts
3. Officers involved in the conspiracy
4. Other conspirators
5. Factual background and evidence
6. Summary of damages
7. Next steps – where do we file?

Definitions and Interpretation

1. The following terms used in this letter shall have the following meanings:

   "**BARCLAYS**" and the "**Bank**" mean Barclays Bank Plc, including the Bank's subsidiaries and senior officers in London, Monaco and elsewhere;

   "**London Property**" means 8 Addison Crescent, London W14 8JP (Title No: BGL25559), the matrimonial home in London of our client and Mr TAKIEDDINE; "**Paris Property**" means 40 avenue Georges Mandel, Paris 20116, the matrimonial home in Paris of our client and Mr TAKIEDDINE;

   "**Matrimonial Properties**" means the London Property, the Paris Property and all other assets jointly owned by our client with her former husband, Ziad TAKIEDDINE, pursuant to their marriage under the French law of community of property;

   "**English Loan**" means the loan of £6,000,000 extended by the Bank to Mr TAKIEDDINE on or around 2 February 2009 and secured, *inter alia*, by a charge (the "**English Charge**") against the London Property;

   "**French Loan**" means the loan of €6,000,000 plus incidentals of €1,200,000 extended by the Bank to Mr TAKIEDDINE on or around 12 February 2009 and secured, *inter alia*, by a charge (the "**French Charge**") against the Paris Property;

   "**Loans**" means the English Loan and the French Loan;

   "**Charges**" means the English Charge and the French Charge;

"**Credit Report**" means the Bank's internal credit report, dated 18 November 2018, describing the Bank's reasons for advancing the Loans to Mr TAKIEDDINE; and

"**PEP**" means Politically Exposed Person, the status assigned by BARCLAYS to Mr TAKIEDDINE, reflecting the high level of risk that the Bank would become involved in criminal activity as the consequence of its dealings with Mr TAKIEDDINE.

Introduction

2. We act for Nicola JOHNSON.

3. It is our contention for the reasons which appear below that the conduct of Barclays Bank plc, including the Bank's subsidiaries and senior officers, makes the Bank liable to our client for damages.

4. This liability is based upon the Bank's involvement in a conspiracy with Ziad TAKIEDDINE, our client's former husband, to injure our client using unlawful means. In addition, the Bank and its senior officers appear to have committed several criminal offences, evidenced below, including conspiracy to defraud, money laundering, tax evasion and 'fraudulent self-insolvency'. These offences were committed in the knowledge that they would injure our client.

5. BARCLAYS wished to benefit from Mr TAKIEDDINE's links with the Libyan regime of Colonel GADDAFI, regardless of the disreputable nature of those links, which included terrorist financing, political corruption and money laundering. It appears that the Bank allowed its need to raise emergency capital from Libya to override its normal legal obligations and compliance procedures.

6. In its effort to curry favour with Mr TAKIEDDINE, the Bank assisted Mr TAKIEDDINE to defraud our client and the French tax authorities.

7. Much of the material on which we shall rely in support of our contention is contained within the Bank's Credit Report dated 18 November 2008 in respect of loans totalling £12,000,000 (the "**Loans**") made by the Bank to Mr TAKIEDDINE and in other material which we have in our possession.

8. We shall also rely on documents from the various criminal proceedings currently ongoing in France. As well as being the victim of the conspiracy orchestrated by Ziad TAKIEDDINE and BARCLAYS, our client is also a key witness and civil party to the French state's criminal prosecutions of Mr TAKIEDDINE and several French political figures.

9. BARCLAYS is named in the French criminal proceedings, in the context of what the prosecutors have described as the *"fraude massive"*D00248_p001-p057_p04 (massive fraud) perpetrated by Mr TAKIEDDINE between 2007 and 2009. Barclay's role included providing what the Bank described as *"equity release"*D00049-72_p04, enabling and assisting Mr TAKIEDDINE to transfer £12,000,000 of the couple's matrimonial assets to remote offshore locations, beyond the reach of European justice and away from our client.

10. Renaud van RUYMBEKE, the French investigative magistrate leading the criminal inquiry, described the equity release effected by BARCLAYS as part of *"un ensemble de manoeuvres frauduleuses pour masquer son patrimoine"* (a series of fraudulent manoeuvres to hide his [Ziad TAKIEDDINE's] wealth).

The Loans

11. On or around 3 February 2009, BARCLAYS Bank extended two loans (the "**Loans**") to Mr TAKIEDDINE. One of the loans was in the amount of £6,000,000 (the "**English Loan**") and the other was in the amount of €6,000,000 (the "**French Loan**").

12. BARCLAYS extended the Loans to Mr TAKIEDDINE in the middle of highly contentious divorce proceedings and in the full knowledge that the Loans were secured against joint matrimonial assets and were therefore illegal under French law. Pierre KERBIDI, the Managing Director of BARCLAYS Monaco, played a leading role in the Bank's conspiracy with Mr TAKIEDDINE to defraud our client.

13. The Loans were described by BARCLAYS as *"equity release from Ziad's residential properties in London and Paris"* and were booked as two separate facilities due to the *"legal and tax implications"* as was confirmed in the Credit Report: *"The facility requested is an equity release from Ziad's residential properties in London and Paris. Due to the legal and tax implications involved with the portion of the transaction subject to French law, this will be structured as two separate facilities…."*

14. BARCLAYS extended the Loans to Mr TAKIEDDINE and transferred the proceeds to offshore locations in the knowledge that doing so would injure our client. The Loans were secured against the couple's matrimonial residences in the middle of divorce proceedings and were completed without the knowledge or consent of our client. The Bank assisted Mr TAKIEDDINE to defraud our client in the divorce by transferring the proceeds of the Loans to remote offshore locations.

Parties

Ziad TAKIEDDINE

15. Ziad TAKIEDDINE is a self-confessed money launderer, in addition to being notorious as a corrupt fraudster, forger and tax evader. Mr TAKIEDDINE has for more than a decade orchestrated a criminal campaign to defraud our client in the context of the couple's divorce, which Mr TAKIEDDINE initiated in September 2006.

16. Mr TAKIEDDINE's campaign has included restructuring the ownership of all of the couple's matrimonial property behind a complex and secret network of screen companies domiciled in offshore locations including Panama and the British Virgin Islands. Mr TAKIEDDINE's financial advisor, James Clark, noted in March 2007 that *"the purpose of the existing structure is to … reduce exposure to taxation and claims from creditors* [i.e. including our client]*"*.

17. A February 2007 press article reported Mr TAKIEDDINE as facing investigation by the French tax authorities and having a potential €115,000,000 liability to our client under the couple's divorce procedure. It was also reported that Mr TAKIEDDINE was attempting to secure illegal retro-commissions from Libya and that he was suspected of additional money laundering offences.

18. Mr TAKIEDDINE has been convicted on multiple occasions for *"abandon de famille"* (refusal to pay maintenance payments to our client in defiance of French Court Orders). In his campaign to defraud our client, Mr TAKIEDDINE has conspired to injure our client with various individuals acting as "*prete-noms*" (borrowed names) for the screen companies set up to hide his true ownership of assets from the French courts. These "*prete-noms*" included Alain FRANCE, Mr TAKIEDDINE's domestic servant and Marc BONNANT, a Geneva lawyer of dubious repute.

19. Mr TAKIEDDINE has already spent two spells in French prison. The first, from May to September 2013, was because he posed a flight risk. He is under formal investigation for crimes including corruption, fraud, money laundering, embezzlement, forgery, fraudulent self-insolvency, tax evasion and laundering of tax fraud and was under judicial control, whereby his passports were confiscated and he was forbidden to leave France. Police discovered that Mr TAKIEDDINE had obtained a Dominican passport in breach of his judicial control and he was jailed as a flight risk. The second imprisonment, from December 2013 to February 2014, was because he was caught travelling to the UK in breach of his bail conditions.

20. Mr TAKIEDDINE currently faces trial in France for several serious criminal offences, including but not limited to the 'Karachi Affair' which involved the murder in 2002 of eleven French engineers, involvement in the illegal €50,000,000 financing by Colonel GADDAFI of Nicolas SARKOZY's 2007 election campaign, multiple counts of corruption, money laundering, aggravated money laundering, fraud, concealment, tax evasion, laundering the proceeds of tax evasion, *organisation frauduleuse de l'insolvabilité* (fraudulent self-insolvency) and use of forgery.

21. Our client is the victim of Mr TAKIEDDINE's crimes and the French prosecutors have granted our client the status of *"partie civile"* (civil party) to the criminal investigations.

22. The French tax authorities have filed a series of criminal complaints in respect of Mr TAKIEDDINE's tax evasion and have placed some of his assets in France under penal seizure. The amount of tax owed has been reported at €21,649,731, excluding penalties. The final bill may be higher given the aggravated nature of the offences and BARCLAYS' role in laundering the proceeds offshore.

23. Mr TAKIEDDINE is also the subject of a UK arrest warrant, not backed for bail, to face charges of perversion of the course of justice and conspiracy to pervert the course of justice. The UK offences relate to Mr TAKIEDDINE's creating and relying in the English courts on forged documents and conspiring with others to defraud our client. Mr TAKIEDDINE dishonestly conspired with others to pretend to the High Court in London that he had disposed of the London Property and the Paris Property in March 2009, just one month after the Loans had been extended by BARCLAYS.

24. The Credit Report confirmed that BARCLAYS was aware of Mr TAKIEDDINE's profile in the media, whereby press comment about him has always been uniformly unfavourable. TAKIEDDINE was known as an intermediary of dubious reputation and widely suspected of involvement in illegal "retro-commissions" (reverse commissions), whereby he laundered illicit payments to French politicians.

25. It had also been reported in the media that Mr TAKIEDDINE was suspected of tax evasion, was under investigation by the French tax authorities and was engaged in high-value divorce proceedings with our client.

26. BARCLAYS designated Mr TAKIEDDINE as a Politically Exposed Person ("**PEP**") and the Bank was therefore required to conduct enhanced due diligence in its dealings with him. In spite of Mr TAKIEDDINE's unsavoury reputation and the obvious risk of financial crime, the Bank agreed to assist Mr TAKIEDDINE to defraud our client.

AMESYS

27. When lending to Mr TAKIEDDINE, the Bank relied on the interest repayments being met by Mr TAKIEDDINE's *"share of the annual payments outstanding for contracts for the supply of Intelligence equipment to the Libyan government"*. The Credit Report noted: *"His [Mr TAKIEDDINE's] current income is derived from a contract he negotiated - for the provision of electronic surveillance equipment for monitoring email and internet traffic - between the French and Libyan governments. This contract has EUR 5M left to pay over the next 2 years."*

28. AMESYS (formerly named 'i2e' and later renamed 'NEXA TECHNOLOGIES') is the French private company that supplied the controversial surveillance technology, codenamed 'EAGLE', to Abdullah SENUSSI, the head of Libyan intelligence. The equipment was used for the *"identification, surveillance and elimination of opponents by intelligence authorities"*. Since May 2017, AMESYS has been placed under the status of *témoin assisté* (assisted witness) for complicity to acts of torture committed in Libya between 2007 and 2011.

29. The International Federation for Human Rights (FIDH), which filed the initial complaint against AMESYS, stated in December 2017:

    "Given the sinister reputation of Muammar GADDAFI and his security structures – regularly criticised by international human rights organisations – AMESYS must have known that the Libyan regime would use the technology as a means of oppression. This is especially so when one considers that AMESYS's interlocutor for signing the agreement was none other than Abdallah SENUSSI, the head of Libyan intelligence who had been convicted in 1989 by the Criminal Court (Cour d'assises) of Paris for acts of terrorism and who, at the time the complaint was lodged, was the subject of an International Criminal Court international arrest warrant for crimes against humanity …"

30. Just as AMESYS must have known that the Libyan regime would use the technology as a means of oppression, so BARCLAYS must also have known the same. The Bank's Credit Report noted that Ziad TAKIEDDINE had negotiated the AMESYS transaction, for which he was paid several million euros in instalments. The payments were made to Mr TAKIEDDINE's secret bank accounts in Lebanon, not declared to the French tax authorities. The Credit Report confirmed that BARCLAYS was aware of the transaction and had reviewed the intelligence equipment contracts, which were the principal factor relied upon by the Bank in its assessment of Mr TAKIEDDINE's income and of its explanation as to how the interest repayments would be met. By advancing funds to Mr TAKIEDDINE in the expectation that these would be repaid via the AMESYS contract, BARCLAYS effectively financed Mr TAKIEDDINE's 10% share of a contract to supply equipment associated with torture to a convicted terrorist and agreed to launder Mr TAKIEDDINE's proceeds from the transaction and to assist him to evade French taxes.

Abdullah SENUSSI

31. The Bank's Credit Report makes it clear that BARCLAYS saw *"significant business development opportunities"* with the Libyan regime of Colonel Muammar GADDAFI, due to Mr TAKIEDDINE's connections in that country, described in the Credit Report as *"clearly of the highest order"*. The Credit report also stated: *"His [TAKIEDDINE's] contacts and influence in Libya are significant, and we are actively pursuing business in that country."*

32. Ziad TAKIEDDINE's principal contact in Libya was Abdullah SENUSSI, GADDAFI's right-hand man, brother-in-law and intelligence chief. The surveillance equipment was for SENUSSI's secret police; it was SENUSSI who gave TAKIEDDINE millions of euros in cash to take to SARKOZY in 2006 to finance his forthcoming election campaign.

33. Mr SENUSSI is a notorious figure, nicknamed "the butcher" because of his reputation for brutal behaviour. He is a convicted terrorist, who in 1999 was sentenced *in absentia* by the French Criminal Court to life imprisonment for his part in the 1989 bombing of a French UTA airline DC10 passenger plane over Niger, in which 170 people lost their lives. SENUSSI is also wanted for questioning by Scottish police for in connection with the 1988 Lockerbie bombing, in which 270 people were killed.

34. SENUSSI is believed to have been responsible for the 1996 massacre of 1,269 inmates at the Abu Salim prison. He is alleged to have given the order to guards standing on grated ceilings above the inmates to fire down on them, after riots broke out over demands for better food and sanitary conditions. SENUSSI is also implicated of the killings of 13 anti-GADDAFI demonstrators in Benghazi on 17 February 2006 and the bloody repression of insurgents during the 2011 Libyan civil war.

35. On 16 May 2011, the International Criminal Court issued an arrest warrant for SENUSSI, charging him as *"criminally responsible as an indirect perpetrator for murder and persecution committed as crimes against humanity between 15 February 2011 and at least 20 February 2011 in Libya"*. The victims were targeted through the EAGLE surveillance technology supplied to Abdullah SENUSSI by AMESYS via the contract arranged by Ziad TAKIEDDINE and partly financed by BARCLAYS.

36. On 28 July 2015, a Libyan court in Tripoli convicted SENUSSI and sentenced him to death by firing squad. It is understood that Mr SENUSSI is currently held in detention in Mauritania.

37. The Credit Report confirmed that BARCLAYS had reviewed the contract to supply the surveillance technology, so the Bank will have known that the equipment was for use by the Libyan intelligence service, headed by Mr SENUSSI, a convicted terrorist, and that the payments to Mr TAKIEDDINE were to be made to his secret accounts in Lebanon.

Marc BONNANT

38. Marc BONNANT is a Geneva lawyer of dubious reputation who has played a significant role in support of Mr TAKIEDDINE's efforts to defraud our client. BONNANT is reported to be the director of at least 176 companies based in Panama. Mossack Fonseca, the firm at the centre of the Panama papers scandal, ceased dealing with Marc BONNANT in 2011, for fear of become involved in a huge corruption case.

39. Mr BONNANT was the director at all material times of Warwick Estates Limited, the BVI-registered screen company that was the nominal owner of the London Property. Mr BONNANT represents and/or has represented numerous of the screen companies established with Mr TAKIEDDINE to disguise Mr TAKIEDDINE's true ownership of valuable assets, including ALVESTON INTERNATIONAL, the company at the head of the networks of screen companies owning the Paris Property and the London Property.

40. Anthony VALGIMIGLI, the Director of BARCLAYS Wealth responsible for the Loans, visited Mr BONNANT in Geneva on 6 January 2009 to discuss the Loans to Mr TAKIEDDINE. On 2 February 2009, Mr BONNANT signed the mortgage documents on behalf of the screen company Warwick Estates Limited, whereby BARCLAYS advanced £6,000,000 to Mr TAKIEDDINE via the English Loan transaction which was designed to injure and which has severely injured our client.

41. Marc BONNANT's involvement in criminal attacks against our client did not end with his signature on the English Loan. On 25 October 2010, BONNANT issued a claim for possession of the London Property at West London County Court, seeking to have our client evicted as a trespasser. Mr BONNANT claimed to represent the new owner of the London Property. The claim was founded on documents purporting to evidence the sale in March 2009 by Mr TAKIEDDINE of ALVESTON, the Panama screen company which was the ultimate owner of both the London Property and the Paris Property, to a new owner, Joseph TAKLA.

42. The documents relied upon in Court by Mr BONNANT have been exposed as forgeries, whereby Mr TAKIEDDINE is currently the subject of an arrest warrant, not backed for bail, issued by Westminster Magistrates Court to face charges of conspiracy to pervert the course of justice. Mr BONNANT and Mr TAKLA are named as conspirators in the Particulars of Offence filed at Westminster Magistrates Court.

43. It is not known what was BARCLAYS's knowledge of, or involvement in, the fraudulent 2010 possession proceedings designed to injure our client. In any event, we require BARCLAYS to undertake not to destroy any of it records in respect of the Loans to Mr TAKIEDDINE.

Alain FRANCE

44. Alain FRANCE was one of Mr TAKIEDDINE's domestic servants, whose name appeared on official records as the *gérant* (manager) of SCI Lamartine, one of the screen companies used by Mr TAKIEDDINE to hide his wealth from the French tax authorities. SCI Lamartine is the nominal owner of 40 Avenue Georges Mandel, the couple's matrimonial home in Paris (the "**Paris Property**").

45. Alain FRANCE had been involved in Mr TAKIEDDINE's schemes to defraud our client since September 2006, whereby he signed forged documents including a fake "rental contract" which was presented to the French Court in the divorce proceedings to pretend that Mr TAKIEDDINE was merely a tenant of the Paris Property, rather than its owner. The French Court was further told that the "rental contract" had been terminated and that Mr TAKIEDDINE was obliged to leave the Paris Property by the end of January 2007. Mr FRANCE confessed in testimony to the French police that he knew about the divorce proceedings and that Mr TAKIEDDINE was the true owner of the Paris Property.

46. Mr FRANCE told the French police: *"Pour me convaincre, il m'a offert son MERCEDES ML 320 en véhicule de fonction. Il me l'a donné et j'ai pris la carte grise."* ("To convince me, he [Mr TAKIEDDINE] offered me his MERCEDES ML 320 as a vehicle for my job. He gave it to me and I took the « carte grise » [car ownership documents]").

47. With respect to the French Loan, Alain FRANCE confessed to French Police that he *"signed the loan application in the presence of Mr. TAKIEDDINE and the Director of BARCLAYS"*. The BARCLAYS Director in question is understood to have been Pierre KERBIDI, the Managing Director of BARCLAYS Monaco.

48. Mr FRANCE further testified (testimony translated from the French): *"At that meeting [the meeting with BARCLAYS], he [Mr TAKIEDDINE] told me that he had decided to borrow from the BARCLAYS MONACO because he needed cash for his business, that he had debts to repay, including a deadline to pay, he also had the plane he wanted to acquire. I did not want to sign. When he told me the amount he wanted to borrow, I was in shock. The Bank wanted a guarantee. He told me that, anyway, as a manager I was not responsible. He also told me that he was acting as personal guarantor. I did not know until after that it could be a problem. He [Mr TAKIEDDINE] signed the guarantee in front of me. I signed these documents [the loan documents] in my turn."*

49. The Bank was fully aware that Alain FRANCE had no real control over SCI Lamartine. The Credit Report confirmed that the Bank knew that Alain FRANCE was the signatory for SCI Lamartine "*in a purely professional capacity*".

50. The Bank further knew that the French Loan was not for the benefit of SCI Lamartine but was for the personal benefit of Mr TAKIEDDINE, whereby the proceeds were transferred to secret offshore accounts controlled by Mr TAKIEDDINE, as part of the conspiracy to injure our client.

John HALL

51. The Bank was introduced to Ziad TAKIEDDINE through John HALL, a founding partner of the wealth management firm St James's Place. The Credit Report described Mr HALL as a 'KBI' (understood to stand for "Key Business Introducer") and noted that the Bank's fee would be grossed up to incorporate Mr HALL's commission, confirmed in the mortgage completion statement as £150,000. The statement of SCI LAMRTINE's bank account with BARCLAYS shows that £150,000 was transferred (to Account 0004) for the value date of 16 February 2009.

52. Contemporaneous email correspondence between Mr HALL and BARCLAYS confirms that both parties fully understood that the Loans were for the benefit of Mr TAKIEDDINE and that the loan proceeds were to be transferred into undeclared offshore accounts owned and controlled by Mr TAKIEDDINE, including accounts in Lebanon, beyond the reach not only of our client but also of the French tax authorities.

53. Mr HALL assisted Mr TAKIEDDINE to prepare documentation in support of the Loans, including Mr TAKIEDDINE's 'ASSETS STATEMENT' confirming his net worth at €97,200,000 in October 2008, whereas the previous month Mr TAKIEDDINE had told the French Court that his assets totalled only €38,000.

BARCLAYS

54. Francesco GROSOLI, Directeur Général et Représentant légal de la Succursale dans la Principauté de MONACO (General Manager and Legal Representative of the [BARCLAYS] Branch Office in the Principality of MONACO)

55. Gianmarco BASSETTI, Head of Credit Risk

56. Jacqueline SAINTE-CLAIRE DEVILLE (married name MELLET, deceased 2103 aged 56?)

corruption d'agent public étranger ou d'une organisation Corruption d'agent public étranger, escroquerie, Fraude Fiscale, blanchiment complicité *internationale, escroquerie, fraude fiscale, complicité de fraude fiscale, blanchiment de fraude fiscale, ou complicité,*

57. Four senior individuals from the Bank have been identified as playing leading roles in the "equity release" the Bank facilitated for Ziad TAKIEDDINE, namely Anthony VALGIMIGLI, Director of BARCLAYS Wealth, Pierre KERBIDI, Managing Director of BARCLAYS Monaco, William HARFORD, Vice-president of BARCLAYS Private Banking, Alfred SHUKRY, Middle East Manager. A number of other BARCLAYS employees are named in the documents we have reviewed.

58. William HARFORD confirmed in an email to John HALL that the Bank's *"in-house legal and credit risk have bent over backwards to accommodate my requests* [to facilitate the loans to Ziad TAKIEDDINE]*"*.

59. Our client was informed by the French police that William HARFORD was in 2012 dismissed or otherwise forced to leave the Bank as the consequence of his criminal dealings with Mr TAKIEDDINE. Our client understands that Messrs VALGIMIGLI and Mr SHUKRY have also left the Bank, but that Mr KERBIDI remains at BARCLAYS, as Managing Director of BARCLAYS in Monaco.

The conspiracy

60. Beginning in 2006, Mr TAKIEDDINE orchestrated a criminal campaign intended to deny our client her rightful share of the couple's wealth; he has forged documents, dissipated family assets and transferred the proceeds to Lebanon and to other offshore locations.

61. From September 2008 the Bank, through the various senior members described previously, conspired with Ziad TAKIEDDINE to injure our client out of her interest in the Matrimonial Properties, including the London Property and the French Property. Based on the Credit Report and the other information it is reasonable to assume BARCLAYS facilitated the equity release with a predominant desire to procure business with the Libyan regime of Colonel GADDAFI, including the desperate need to secure an emergency injection of capital in order to avoid the UK government bail-out.

62. BARCLAYS provided an equity release of £12,000,000 to Ziad TAKIEDDINE so that he could dissipate assets away from our client and other creditors, including the French state. The Bank transferred the proceeds of the equity release to Mr TAKIEDDINE's bank accounts in Lebanon and other remote offshore locations. BARCLAYS' conduct means that the Bank entered a conspiracy to defraud our client and may have committed several further criminal offences, described below. In any event, the Bank's conduct certainly constitutes 'unlawful means' in respect of the conspiracy to injure our client.

63. The Bank was required to obtain appropriate senior management approval for establishing a business relationship with Mr TAKIEDDINE. This involved taking adequate measures to establish the source of wealth and source of funds which were involved in the business relationship with Mr TAKIEDDINE. As described previously the Loans were partly underwritten by the AMESYS contract, whereby Mr TAKIEDDINE was receiving money derived from the sale of intelligence equipment to the Libyan government and laundering that money across various offshore jurisdictions into his complex corporate structures.

64. Various senior members of the Bank met with Mr TAKIEDDINE prior to the issuance of the loans. On the 18 November 2008, Mr HARFORD met Mr TAKIEDDINE and Alain FRANCE at the Paris property. After the initial meeting with Mr HARFORD, Mr TAKIEDDINE met with Mr SHUKRY who, according to the Credit Report, "*confirmed [Ziad's] standing and reputation based on information from his own contacts*." On 1 December 2008 both Mr HARFORD and Mr SHUKRY gave their business line approval for the proposed Loans.

65. On 6 January 2009, Mr VALGIMIGLI met with Marc BONNANT in Switzerland. On 27 January 2009, Mr VALGIMIGLI met with Hala FRANGIE in Beirut. Both meetings were arranged to discuss the details of the loan proposals and to verify the ownership of Mr TAKIEDDINE's complex corporate structure.

66. In early January 2009, BARCLAYS discovered that a Home Rights Charge had been registered by our client against the London Property. The Bank informed Mr TAKIEDDINE's lawyers that it could not proceed with the Loans until the Home Rights Charge had been removed. Our client was then manipulated into agreeing to removing the Home Rights Charge. Our client was not informed by BARCLAYS or by Mr TAKIEDDINE that the purpose of removing the Home Rights Charge was to provide an equity release on the matrimonial properties in favour of Mr TAKIEDDINE.

67. The Loans were completed on or around 12 February 2009. The equity release was achieved by way of two secured charges: the English Charge and the French Charge. The London Charge secured a loan of £6,000,000 made by BARCLAYS to Warwick Estates Limited, the screen company that nominally owns the London Property. The French Charge, processed through BARCLAYS Monaco, secured an additional €6,000,000 loan by the Bank to SCI Lamartine secured by a charge over the French Property. Despite the equity release being booked as two separate loans to two distinct companies, it is clear from the Bank's internal documentation that it was in reality a single loan for the exclusive benefit of Ziad TAKIEDDINE.

68. The £6,000,000 English Loan was used to repay part of a previous £7,200,000 loan taken out by Mr TAKIEDDINE, the proceeds of which had already been transferred, to the detriment of our client, to Mr TAKIEDDINE's undisclosed accounts in Lebanon and other remote offshore locations. The £1,200,000 remaining balance of the previous loan was paid out of the proceeds of the new French Loan.

69. The remainder of the French Loan was transferred offshore as follows:

    a. On or around 12 February 2009 the Bank transferred $4,000,000 (€3,150,000) to Spectrum Aerospace, a Bermudan company; and

    b. On or around 12 February 2009 the Bank transferred the remaining balance of €1,200,000 to an account (ALVESTON) in Lebanon, wholly owned and controlled by Mr TAKIEDDINE.

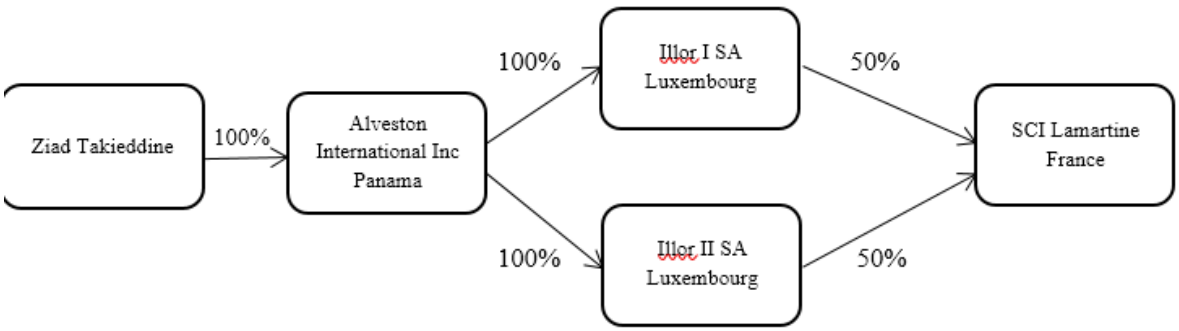
70. The Bank knew that Ziad TAKIEDDINE was married to our client and ought to have known that the couple were married under the French Matrimonial Regime of community of property, whereby all assets acquired by the couple during the marriage are jointly owned by them in indivisible shares. The Bank was aware of our client's interest in the properties, confirmed by the Home Rights Charge on the London property, and it was public knowledge that Mr TAKIEDDINE was engaged in high-value divorce proceedings with our client. Despite this, and with no mention of the divorce proceedings in its Credit Report, the Bank secured the Charges without our client's knowledge or consent. This dishonestly breached the French Matrimonial Regime under which our client and Mr TAKIEDDINE were married.

71. At all material times BARCLAYS knew they it was dealing with Mr TAKIEDDINE. The Bank correctly identified Mr TAKIEDDINE as a PEP and no doubt applied enhanced levels of due diligence to Mr TAKIEDDINE and conducted on-going monitoring of the loans. The circumstances of the proposed equity release, together with the PEP status Mr TAKIEDDINE, indicated an unusually high level of risk of involvement in financial crime, corruption and terrorism.

72. The Bank knew about the complex structure of offshore screen companies used by Mr TAKIEDDINE to hide his wealth from creditors and to evade French taxes. This is evidenced by the two diagrams produced by the Bank in the Credit Report (shown below). The Credit Report states *"as is to be expected of a client of Ziad's nature, his assets are owned by way of offshore SPV structures, although he, and not a Trust, is the direct beneficial owner of all of them"*.

73. The French Property was owned by a French company which itself was owned in two 50% shares by two Luxembourg societies, both of which were owned by a Panamanian Bearer Share Corporation which was in turn owned by Mr TAKIEDDINE, as set out in the Bank's diagram. It is an unusually complex structure through which to hold a single apartment; it was obvious to the Bank that the real purpose of the structure was to allow Mr TAKIEDDINE to evade French taxes by concealing his ownership of the French Property.

Percentage Ownership:



- The shares of Illor I & II are held on a fiduciary account for the benefit of Alveston International
- Alveston International have bearer shares in issue, held in bank custody by Ahli International bank in Beirut. We have the appropriate signed affirmations from the bank that the shares are held for the benefit of Mr Takieddine.
- We hold signed original headed letters from all custodians confirming custody and that Mr Takieddine is the ultimate sole beneficiary and owner.

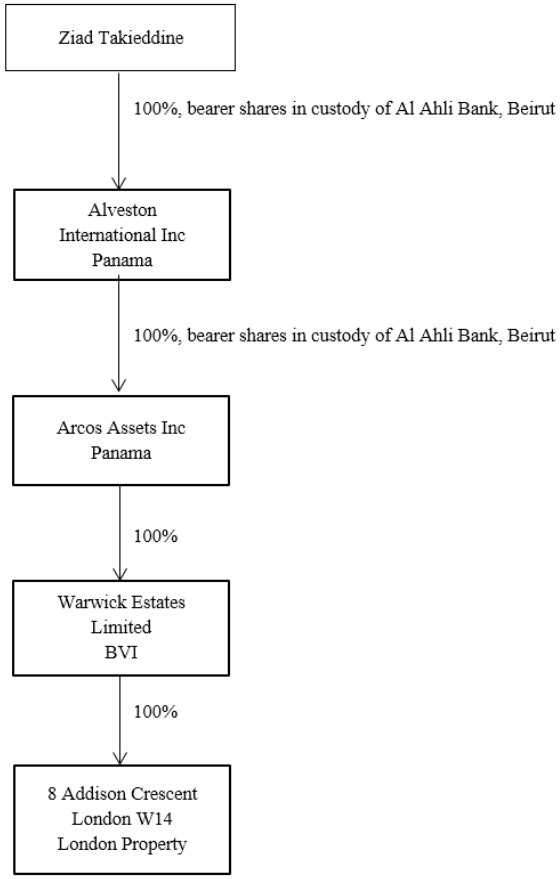
Other Notes:

The signatory and gerant of SCI Lamartine is M Alain France, who holds the position in a purely professional capacity. We have signed assurance from both lawyers and the bank in Beirut, as to the beneficial ownership of the company resting with Ziad Takieddine by way of the asset structure.

The sole significant assets of SCI Lamartine are a property in Paris, 40 Avenue Georges Mandel, valued at EUR 9.75 Million.

74. Mr TAKIEDDINE's ownership of the London Property was masked by an even more complex chain of offshore screen companies, set out by the Bank in the diagram below. The London Property was nominally owned by a British Virgin Islands Company, which itself was owned by a Panamanian Bearer Share Corporation which in turn was owned by a separate Panamanian Bearer Share Corporation. Again, the structure appears to have no other purpose than to enable Mr TAKIEDDINE to conceal his ownership of the property.

Appendix 1: Client asset ownership structure



75. At the time of the loans, the Bank no doubt had regard to the guidance issued by the Joint Money Laundering Steering Group ("JMLSG"). The obligations described in that guidance meant that BARCLAYS had to apply a higher level of due diligence in order to satisfy themselves that there were genuine and legitimate economic or other reasons for Mr TAKIEDDINE's use of such a complex structure (. The purpose of this was to ensure that the Bank minimised the risk of it being used for criminal purposes and, in particular, of facilitating money laundering or terrorist financing.

76. The Credit Report offers no legitimate reason for the complexity of the structures maintained by Mr TAKIEDDINE; it indicates that the Bank was aware that Mr TAKIEDDINE had been and was attempting to hide his assets. The Bank went to unacceptable lengths to accommodate Mr TAKIEDDINE. Indeed, the Bank's recognition that the corporate structure allowed Mr TAKIEDDINE to profit from the proceeds of tax evasion is evidenced by the following statement in the Credit Report: "*It is highly likely that this is a conservative estimate of the client's income position, as this only represents income from disclosed assets. It is probable the client has cash/investment assets further to the declared position, but he is reluctant to declare his full cash balances with 3rd parties at this stage in the relationship. His French residency, and associated tax regime, means he is cautious when discussing taxable income and assets.*"

77. The Credit Report failed to address the negative media reports about Mr TAKIEDDINE, the highly contentious nature of the AMESYS contract, or Mr TAKIEDDINE's liability to our client under the divorce proceedings which had been ongoing since 2006. It is clear that the Bank either neglected to undertake a higher level of due diligence or it simply ignored the negative media reports surrounding Mr TAKIEDDINE including his divorce proceedings with our client. This was in breach of Principle 2 of the FSA's Principles for Business, which required the Bank to conduct its business with due skill, care and diligence.

78. The Bank failed to respond appropriately to a number of features of its potential business relationship with Mr TAKIEDDINE and his contacts that indicated a higher risk of financial crime: namely, Mr TAKIEDDINE's links to organised crime and terrorism, his use of complex networks of offshore companies to disguise his true ownership of assets, the nature of his business and associated risk of corruption and money laundering. It reasonable to infer that the Bank ignored their regulatory requirements.

79. The evidence demonstrates that BARCLAYS conspired with others including Mr TAKIEDDINE to ensure our client was deprived of monies she would have rightly received pursuant to the divorce proceedings initiated in 2006 and ongoing at the time of the Loans. BARCLAYS was fully aware of the divorce proceedings and of the intention to cheat our client. Mr TAKIEDDINE was obliged by French Court orders to make monthly payments to our client until such time as the divorce was finalised. Mr HARFORD personally handed the payments to our client on several occasions. Indeed, once such payment was made to our client from the account from SCI LAMARTINE with BARCLAYS on 11 February 2009, before the completion date of the Loans.

80. BARCLAYS also knew that our client had an interest in the matrimonial properties because of the Home Rights Notice. The Bank failed to inform our client about the equity release, seemingly in breach its due diligence requirements, had a desire to do business with a publicly disreputable client in Mr TAKIEDDINE, conspired to receive money derived from a contract to assist the torture of civilians in Libya and wanted to benefit from Mr TAKIEDDINE's links with Abdulla SENUSSI in GADDAFI's Libya. This amounts to a conspiracy to defraud our client because the Bank dishonestly agreed with Ziad TAKIEDDINE and others to deprive our client of her interest in the properties.

81. The Bank has a duty to disclose information, both internally to its Money Laundering Reporting Officer and externally to the relevant authorities, if it knows or suspects, or had reasonable grounds for knowing or suspecting, that someone is engaging in money laundering. It is clear from the Bank's own statements in the Credit Report that it knew or at least had reasonable grounds for knowing or suspecting that Mr TAKIEDDINE was engaging in money laundering on a large scale. Specifically, it is reasonable to infer that the Bank must have known the course of conduct it was undertaking with Mr TAKIEDDINE was a conspiracy to dissipate his wealth from various creditors including our client. As far as our client is aware no report, whether a protected or an authorised disclosure, was made to a relevant authority (HM Treasury, NCA or SOCA) at any point during the relevant period. If no report was made, either internally or externally, then the Bank failed in its legal duty to report a suspicion that Mr TAKIEDDINE was engaged in money laundering, which may constitute criminal offences under s.330 and s.331 of POCA.

82. The Bank appears not only failed to report Mr TAKIEDDINE to the relevant authorities under s. 330 POCA, but to have assisted him commit tax fraud and money laundering in the UK and France. BARCLAYS would have been aware that France had a wealth tax at the time of the equity release and that Mr TAKIEDDINE's complex structure of companies was designed to hide his true ownership of taxable assets. The *"legal and tax implications"* were explicitly acknowledged by the Bank in its Credit Report. Mr TAKIEDDINE had benefitted from and was, at the time of the equity release, continuing to benefit from criminal conduct in the UK and abroad.

83. The Bank's conduct may constitute the following offences:

    a. The Bank conspired with Mr TAKIEDDINE to conceal, disguise and transfer his benefit from the proceeds of crime which is offence under s. 327 POCA. The conspiracy against our client allowed Mr TAKIEDDINE to conceal, disguise and transfer money away from the jurisdictions of the UK and France.

    b. By issuing the Loans to Mr TAKIEDDINE the Bank entered into an arrangement which it knew, or at least suspected, facilitated the use and control of criminal property. This is an offence under s. 328 POCA. This includes entering into an arrangement to facilitate the use and control of the charges against the Matrimonial Properties and to receive funds from the AMESYS contract, both of which are criminal property.

    c. The Bank acquired criminal property, the Charges on the Matrimonial Properties, via its conspiracy with Mr TAKIEDDINE to injure our client. This may amount to an offence under s.329 POCA. The Bank also conspired with Mr TAKIEDDINE and others to acquire the proceeds from the AMESYS contract, which supplied a convicted terrorist with equipment designed to assist in the *"identification, surveillance and elimination"* of political opponents, including the torture and murder of civilians.

    d. The Bank may have assisted Mr TAKIEDDINE to commit serious offences in France, which include:

        i. Fraudulent Organisation of Insolvency ***(Articles 314-7 to 314-9 of the criminal code)***;

        ii. Tax evasion and complicity in tax evasion (*Articles 1741, 1742 and 1750 of the general tax code);*

iii. Laundering the proceeds of tax evasion or complicity in laundering the proceeds of tax evasion ***(Articles 121-6 and 121-7, 324-1, 324-3, 324-4, 324-7 of the criminal code)***;

iv. Aggravated money laundering ***(Articles 324-1, 324-3, 324-4 and 324-7 of the penal code)***; and

v. Numerous similar offences including corruption, aggravated fraudulent self-insolvency, concealment or conversion of the direct or indirect proceeds of a crime, concealment or conversion of the direct or indirect proceeds of fiscal fraud and use of forgery (falsifying the signature of our client on tax returns from 2002 to 2005).

e. Mr TAKIEDDINE has been charged in French criminal proceedings with all these offences in relation to period from 2002 onwards. The equity release allowed Mr TAKIEDDINE in France to conceal his wealth, commit tax evasion, and launder the proceeds of tax evasion. The Bank's facilitation of these offences may amount to a conspiracy with Mr TAKIEDDINE and others to commit serious offences in a Member State contrary to s71 of the Criminal Justice Act 1993.

f. BARCLAYS may have committed an offence under 1(1), per Section 1A of the Criminal Law Act 1977. The Bank agreed to pursue a course of conduct (the agreement) in the UK, whereby they would transfer the proceeds of the equity release on the matrimonial properties to Mr TAKIEDDINE's bank accounts in Lebanon and other remote offshore locations through various shell companies. This constitutes a number of offences in France, including: Fraudulent Organisation Of Insolvency (Articles 314-7 to 314-9 of the criminal code), tax evasion (*Articles 1741, 1742 and 1750 of the general tax code)*, and *blanchiment aggravé* (aggravated money laundering - *324-1 , 324-3, 324-4 and 324-7 of the penal code)*. The agreement, if triable in this country, may amount to deliberately and dishonestly facilitating the commission of revenue fraud by Mr TAKIEDDINE, and fraudulently evading income tax (106A of the Taxes Management Act 1970).

84. The Bank's conduct on its own should constitute 'criminal conduct' under s.76(1) POCA. However, BARCLAYS certainly benefited from the criminal conduct of Mr TAKIEDDINE. Under s.76(4) POCA, *"a person benefits from conduct if he obtains property as a result or in connection with the conduct"*. BARCLAYS' benefit from the conspiracy to injure our client includes the Charges the Bank acquired against the Matrimonial Properties. The Charges are *"property"* per s.84 POCA because *"property is held by a person if he holds an interest in it"*. The Charges on the Matrimonial Properties constitute criminal property and are consequently unenforceable by the Bank.

85. The Bank entered into a conspiracy with Mr TAKIEDDINE and other parties, to intentionally injure our client. As a result of the Bank's actions and those of Mr TAKIEDDINE, our client stands to receive little or none of the matrimonial assets she built up over the course of her 26-year marriage, which assets were conservatively valued by the Bank in its 2008 Credit Report at more than £78,000,000.

86. Our client has been severely prejudiced by the criminal conduct of the Bank, its senior officers and its in-house legal and credit teams. Based upon the facts, some of which are set out above, our client has the potential to seek both criminal and civil remedies.

87. Our client would prefer to reach a negotiated settlement with the Bank. But if that should not be forthcoming then our client will have no realistic option other than to take appropriate action against the Bank. Our client has the benefit of full Conditional Fee Agreements with this firm and with Simon Farrell QC, acknowledged as a leading expert in conspiracy, corporate crime, commercial and tax fraud, art fraud, bribery, corruption, money laundering and matters arising under the Proceeds of Crime Act 2002.

88. In the light of the information set out in this letter we expect you to take the following actions:

89. [Bullet points follow – more to be added]

    a. Acknowledge receipt of this letter no later than 14 days from the date of this letter;

b. William HARFORD stated in an email on 10 February 2009 to John HALL, *"both in-house legal and credit risk have bent over backwards to accommodate my requests"*. As Mr HARFORD makes clear the conspiracy to injure our client involved senior individuals, the legal team, the compliance team, and the credit team of the Bank. Our client expects disclosure of all relevant documents and communications (emails, meeting notes, messages, faxes, and phone calls) relevant to these parties, the equity release and Ziad TAKIEDDINE as a client.

c. Disclosure of the relevant due diligence materials and compliance manuals at the time of the equity release.

d. Our client was notified by the French police that William HARFORD was dismissed by BARCLAYS in 2012 as the result of his dealings with Mr TAKIEDDINE. Our client requires a full and frank explanation as to why William HARFORD was forced to quit the Bank in 2012.

e. Our client also requires a full and frank explanation as to why Antony VALGIMIGLI also quit the Bank in 2012;

f. Our client further requires a full and frank explanation as to why Alfred SHUKRY quit the Bank in 2009;

g. Our client also requires an explanation as to why Pierre KERBIDI has been allowed to remain in a senior position at the Bank, in spite of his central role in the criminal conspiracy against our client.

h. An explanation as to why our client's divorce proceedings with Mr TAKIEDDINE were not included in the Credit Report.

i. Our client understands that BARCLAYS refused to deal with Ziad TAKIEDDINE around 2012. It appears Ziad TAKIEDDINE requested a further "equity release" involving two companies; OASIS TECHNIC LIMITED and ST PAUL DE VENCE. Our client also understands the Bank closed Mr TAKIEDDINE's personal bank account around the same time. We require an explanation as to why the Bank stopped dealing with Ziad TAKIEDDINE in or around 2012.

j. Provide full redress to our client.

90. Please also answer the following questions

a. Who were Alfred SHUKRY's internal contacts that confirmed Mr TAKIEDDINE's reputation?

b. Which director or senior manager was responsible for the AML procedures at the relevant time?

c. Who was the Money Laundering Reporting Officer ("MLRO") from 2008-2013?

d. Was the MLRO or senior management notified at any point about the equity release?

e. Did the Bank file a report about Ziad TAKIEDDINE subject to s. 338 POCA at the time of the equity release?

f. Did anyone at BARCLAYS make an internal or external disclosure report (either protected or authorised) in line with the provisions in Part 7 of POCA about Ziad Takieddine subject to s. 328 POCA at the time of the equity release?

PLUS – Require undertaking from the Bank not to destroy its records

g. We require an explanation as to why BARCLAYS stopped dealing with Ziad TAKIEDDINE in or around 2012.

Schedule of Loss

1. £6,000,000 liquidated from London Property plus interest (£7.1m?)
2. €6,000,000 liquidated from Paris Property plus interest
3. Double sanction for concealment of joint assets
4. Legal costs

The sanction for concealment of joint assets. There is a double sanction for concealment of joint assets.

The main sanction is specified by Article 1477 of the Civil Code that "*that the spouse who has diverted or concealed certain effects from the joint assets is deprived of its share in the said effects*."

A secondary penalty is provided for in Article 1483 of the Civil Code according to which the concealing Spouse would also lose the benefit of the emolument:

> *"Each Spouse can only be prosecuted for one half of the debts which became part of the Joint assets due to the co- spouse.*
> *After the division and except in the case of concealment, he is only liable up to the extent of his emolument provided there was an inventory, and on taking into account of both the content of this*

inventory and what has been paid in advance through the division as well as the common debts already paid."

The loss of the benefit of the emolument means that the security of the creditors of the joint assets will not be limited to the rights of the concealing Spouse in the mass which can be shared out.

The victim Spouse may also seek damages under the general law (Civil Code, Article 1382) due to the additional damage which the victim has sustained.

With regard to the main sanction, if it occurs before the division, it is to allocate in full the concealed assets to the victim spouse, the division itself dealing now only with the other joint assets. This allocation of the concealed assets is made in principle in kind. Where restitution in kind is not possible (e.g. when the concealed assets are no longer in the hands of the concealing Spouse), the allocation to the victim spouse will enhance (the value of the concealed assets). The Supreme Court added "*that when concealed assets are not found in the hands of the Spouse guilty of the concealment, the victim spouse is entitled not only to the value of assets concealed but half again the joint assets determined by including in the asset the value of these assets*" (Court of Cassation, 1st civil Chamber, 20 February 1996, n ° 93-13467: civil Bulletin I, No. 89).

New skeleton

List Barclays offences – refer to law and to the facts

Obviously, the 'unlawful means' in a conspiracy to injure (civil case)

1. **conspiracy to defraud** –

   (i) Common Law offence. The test is *Scott v Metropolitan Police Commissioner* [1975] 'an agreement by two or more by dishonesty to deprive a person of something which is his or to which he is or would be entitled and an agreement by two or more by dishonesty to injure some proprietary right of his, suffices to constitute the offence of conspiracy to defraud'

   (ii) Dishonesty test found in *Ivey:* Whether the conduct complained of was dishonest by the lay objective standards of ordinary reasonable and honest people; (the "objective test")

   (iii) Key points: marriage (especially French law), knowledge of divorce, press, links to terrorism and crime, knowledge of tax evasion, knowledge of corporate structure, no consent to HRC, and knew it would injure NJ (important).

2. **Breach of regulatory duty** – The Money Laundering Regulations 2007 –

   a. **Either they didn't comply with EDD** regulations by taking adequate measures because:

      i. they didn't apply enhanced due diligence measures (reg 14(4)) Reg 14(b) and (c) in particular.

         1. One aspect from the JMLSG guidance is: They did not satisfy themselves that there were genuine and legitimate economic or other reasons for Mr TAKIEDDINE's use of such a complex structure (JMLSG 4.16).

   And/or

      ii. They breach Regulation 11 (Requirements to cease transactions). They are unable to apple EDD as ZT refuses to disclose all wealth, source of funds. They had to cease trading.

      iii. Both 11 and 14 have criminal liability per Reg 45.

   b. **Or they did comply with EDD** and therefore must have known about ZT.

   c. Either way we want to argue they knew about ZT.

3. **POCA offences:**

   a. the Bank failed in its legal duty to report a suspicion that Mr TAKIEDDINE was engaged in money laundering, which may constitute criminal offences under **s.330 and s.331 of POCA**.

   b. The Bank conspired with Mr TAKIEDDINE to conceal, disguise and transfer his benefit from the proceeds of crime which is offence under s. 327 POCA

c. By issuing the Loans to Mr TAKIEDDINE the Bank entered into an arrangement which it knew, or at least suspected, facilitated the use and control of criminal property. This is an offence under s. 328 POCA.

d. The Bank acquired criminal property, the Charges on the Matrimonial Properties, via its conspiracy with Mr TAKIEDDINE to injure our client. This may amount to an offence under s.329 POCA.

4. **Conspiracy with others to commit serious offences in a Member State**
   a. contrary to s71 of the Criminal Justice Act 1993.

5. **Conspiracy to commit offences outside England and Wales**

   a. The Bank agreed to pursue a course of conduct (the agreement) in the UK, whereby they would transfer the proceeds of the equity release on the matrimonial properties to Mr TAKIEDDINE's bank accounts in Lebanon and other remote offshore locations through various shell companies. This constitutes a number of offences in France, including: Fraudulent Organisation Of Insolvency (Articles 314-7 to 314-9 of the criminal code), tax evasion (*Articles 1741, 1742 and 1750 of the general tax code)*, and *blanchiment aggravé* (aggravated money laundering - *324-1 , 324-3, 324-4 and 324-7 of the penal code)*. The agreement, if triable in this country, may amount to deliberately and dishonestly facilitating the commission of revenue fraud by Mr TAKIEDDINE, POCA offences and fraudulently evading income tax (106A of the Taxes Management Act 1970).